

MONEY AND BANKING SOLVED PAST PAPERS BY ARYAN ASHRAF =03114030609

1. What is leasing? What are the differences between Operating Lease and Finance Lease?
 2. Differentiate between:
 - Revocable Letter of Credit vs. Irrevocable Letter of Credit
 - Sight Letter of Credit vs. Deferred Letter of Credit
 3. Discuss any four Islamic Modes of Financing used by banks in Pakistan.
 4. Define Trade Cycles. Briefly discuss its four phases.
 5. Differentiate between Deflation and Hyper Inflation.
 6. Briefly discuss the differences amongst Current, PLS, & Term Deposit Accounts.
 7. Discuss the features of a saving account.
 8. Explain Deflation. (2)
 9. Define and explain hypothecation.
 10. List down tools of monetary policy by central bank.
 11. Define Income Inflation.
 12. Define Overdraft.
 13. Define Consumer Finance.
 14. Define Discount of bill.
 15. Define promissory note.
 16. Define Commercial Banks.
 17. Define Fixed Deposit Accounts.
 18. Explain Investment Theory of Trade Cycle.
 19. Explain Quantity Theory of Money & its impact on money's value.
 20. Define Islamic Development Bank & its role in economic development of member countries.
 21. Define Cash Balance Theory of money & its impact on economy. (2)
 22. Define Evolution of Banks.
 23. Define Asian Development Bank.
 24. Define bank. (2)
 25. Define fiat money.
 26. Define barter trade.
 27. Differentiate between deflation and stagflation.
 28. Enlist the method used by SBP for issuance of currency note.
 29. Define Current Account and PLS (profit and loss sharing) account.
 30. Define Investment bank.
 31. Define intrinsic value. (3)
 32. List down functions of money. (2)
 33. Define International Bank for Reconstruction and Development (IBRD).
 34. Define Credit Creation. (2)
 35. Define Central Bank. (2)
 36. Differentiate between privatization and Nationalization.
 37. Define Banker Customer Relationship. (2)
 38. Define Near Money.
 39. Define commodity money.
 40. Define letter of credit.
 41. Define mortgage bank.
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1. **Leasing** : Leasing is a financial contract where one party (the lessor) allows another party (the lessee) to use an asset for a specified period in return for periodic payments. It's like renting but with different terms for ownership.

Operating Lease: This type of lease is short-term, where the lessor retains ownership of the asset, and the lessee can use it for a period shorter than its useful life. The lessee returns the asset at the end of the lease.

Finance Lease: A finance lease is long-term and similar to buying the asset on installment. The lessee bears most of the risks and benefits of ownership, and the asset often transfers to the lessee at the end of the lease.

2. **Revocable Letter of Credit vs. Irrevocable Letter of Credit:**

Revocable: This letter of credit can be canceled or altered by the issuing bank at any time without the beneficiary's approval, making it less secure.

Irrevocable: This letter of credit cannot be changed or canceled without the consent of all parties, offering more security to the beneficiary.

Sight Letter of Credit vs. Deferred Letter of Credit:

Sight: Payment is made to the beneficiary immediately upon the presentation of the required documents, ensuring quick payment.

Deferred: Payment is made after a specified period, giving the buyer time to arrange for funds while the seller receives payment later.

3. **Islamic Modes of Financing:**

- **Murabaha**: This is a cost-plus-profit financing method where the bank purchases an item and sells it to the customer at an agreed profit margin, with repayment in installments.
- **Mudarabah**: A partnership where one partner provides the capital while the other provides expertise. Profits are shared as per agreement, but losses are borne by the capital provider.
- **Musharakah**: A joint venture where all partners contribute capital and share profits and losses based on their contributions. It's commonly used for large investments.
- **Ijara**: A leasing arrangement where the bank buys an asset and leases it to the customer. The customer pays rent, and ownership can transfer to the customer at the lease's end.

4. **Trade Cycles**: Trade cycles, also known as business cycles, represent the natural fluctuation of economic activity over time. These cycles have different phases that an economy typically goes through.

Phases:

Expansion: This phase features increasing economic activity, employment, and production. Businesses grow, and consumer demand rises.

Peak: The peak is the height of economic activity, where growth slows down, but activity is still at a high level.

Contraction: In this phase, economic activity declines, leading to reduced production and higher unemployment. Demand falls, and businesses cut back.

Trough: The trough is the lowest point of economic activity, where the economy hits bottom, paving the way for the next phase of recovery.

5. Deflation vs. Hyperinflation:

Deflation: Deflation is a sustained decrease in the general price level of goods and services, leading to an increase in the value of money. It can cause reduced consumer spending as people wait for lower prices.

Hyperinflation: Hyperinflation is an extremely rapid and uncontrollable rise in prices, where the currency loses its value quickly. It often occurs during economic crises and can lead to a collapse in the economy.

6. Current, PLS, & Term Deposit Accounts:

Current Account: A current account is a non-interest-bearing account that allows for unlimited transactions and is often used for daily business operations. It offers high liquidity but usually does not earn interest.

PLS Account: A PLS (Profit and Loss Sharing) account is based on Islamic principles, where the account holder shares in the bank's profits and losses instead of earning interest. The returns vary depending on the bank's performance.

Term Deposit Account: A term deposit account is where money is deposited for a fixed period at a predetermined interest rate. The depositor earns higher returns, but the funds are locked in until the maturity date.

7. Features of a Saving Account:

- A savings account is designed for individuals to save money while earning interest or profit. It offers easy access to funds, but with some limits on the number of withdrawals.
- It provides a safe place to store money, with the added benefit of earning a modest return.
- Most savings accounts are low-risk, with the principal amount protected.

8. **Deflation:** Deflation is when the overall price levels of goods and services in an economy decrease over time. This increase in the value of money can lead to reduced spending by consumers, as they anticipate further price drops, potentially slowing down economic growth.

9. **Hypothecation:** Hypothecation is when a borrower pledges an asset as collateral for a loan, but unlike a mortgage, the borrower retains ownership and possession of the asset. If the borrower defaults, the lender has the right to sell the asset to recover the loan amount.

10. Tools of Monetary Policy by Central Bank:

- **Open Market Operations:** The central bank buys or sells government securities to control the money supply.

- **Discount Rate:** This is the interest rate charged by the central bank on loans to commercial banks, influencing other interest rates in the economy.
- **Reserve Requirements:** The central bank sets the minimum reserves that banks must hold, affecting the amount of money banks can lend.
- **Moral Suasion:** The central bank uses persuasion or advice to influence and guide commercial banks' lending policies without enforcing rules.

11. **Income Inflation:** Income inflation occurs when wages and salaries rise across the board, increasing the overall income in the economy. This often leads to higher consumer spending, which can drive up demand and prices, contributing to inflation.

12. **Overdraft:** An overdraft is a facility provided by banks that allows an account holder to withdraw more money than they have in their account, up to a certain limit. This creates a negative balance, which must be repaid with interest.

13. **Consumer Finance:** Consumer finance refers to loans, credit, and financial services provided to individuals for personal use, such as buying a car, home appliances, or covering personal expenses. It includes products like personal loans, credit cards, and installment plans.

14. **Discount of Bill:** Discounting a bill refers to the process of selling a bill of exchange to a bank or financial institution at a price lower than its face value before its maturity date. The seller gets immediate cash, and the bank collects the full amount when the bill matures.

15. **Promissory Note:** A promissory note is a written, legally binding document in which one party promises to pay a specific amount of money to another party at a specified date or on demand. It's often used in financial transactions as a simple loan agreement.

16. **Commercial Banks:** Commercial banks are financial institutions that accept deposits from the public, provide loans, and offer a wide range of financial services like checking accounts, savings accounts, and payment processing. They play a central role in the financial system by facilitating money flow.

17. **Fixed Deposit Accounts:** Fixed deposit accounts are savings accounts where funds are deposited for a specific period, ranging from a few months to several years. They offer higher interest rates than regular savings accounts but require the depositor to keep the money in the account until maturity.

18. **Investment Theory of Trade Cycle:** The investment theory of trade cycles suggests that economic fluctuations are driven primarily by changes in investment levels. When investment increases, it leads to economic expansion, while a decrease in investment results in a contraction, affecting overall economic activity.

19. **Quantity Theory of Money & Its Impact:** The quantity theory of money posits that the amount of money in circulation directly affects the price level. According to this theory, if the money supply increases faster than the economy's ability to produce goods and services, it leads to inflation, reducing the value of money.

20. Islamic Development Bank & Its Role: The Islamic Development Bank (IsDB) is an international financial institution that aims to promote economic development and social progress in its member countries. It provides financial assistance and investments that comply with Islamic law, focusing on infrastructure, education, and healthcare projects.

21. Cash Balance Theory of Money & Its Impact: The cash balance theory suggests that the value of money depends on the demand for holding money as cash balances. When people prefer to hold more cash, money's value increases, stabilizing the economy. Conversely, if people hold less cash, the demand decreases, which can lead to inflation.

22. Evolution of Banks: Banks have evolved from simple money-lending operations in ancient times to complex financial institutions that offer a wide range of services, including deposits, loans, investment products, and financial advice. This evolution has been driven by the changing needs of economies and technological advancements.

23. Asian Development Bank: The Asian Development Bank (ADB) is a regional development bank focused on promoting social and economic development in Asia. It provides loans, grants, and technical assistance to member countries to help reduce poverty and improve infrastructure and public services.

24. Bank: A bank is a financial institution that provides various services such as accepting deposits, offering loans, and facilitating transactions for individuals and businesses. Banks play a crucial role in the economy by providing liquidity and enabling the flow of money.

25. Fiat Money: Fiat money is a type of currency that has no intrinsic value on its own and is not backed by a physical commodity like gold or silver. Its value comes from the trust and confidence that people have in the government that issues it.

26. Barter Trade: Barter trade is a system of exchange where goods and services are traded directly for other goods and services without the use of money. It's the oldest form of trade, relying on a mutual agreement between parties on the value of the goods exchanged.

27. Deflation vs. Stagflation:

Deflation: Deflation is a decrease in the general price level of goods and services, leading to an increase in the value of money. It often results in reduced consumer spending as people expect further price drops.

Stagflation: Stagflation occurs when an economy experiences stagnant growth, high unemployment, and high inflation simultaneously. Unlike deflation, stagflation is a challenging economic situation as it combines rising prices with economic slowdown.

28. Methods Used by SBP for Issuance of Currency Notes:

The State Bank of Pakistan (SBP) issues currency notes through a well-regulated process that involves:

Printing: Notes are printed based on the demand for money in the economy.

Security Features: Currency notes are embedded with security features to prevent counterfeiting.

Distribution: Notes are distributed through the central and commercial banks.

Currency Withdrawal: Old and damaged notes are systematically withdrawn from circulation.

29. **Current Account and PLS (Profit and Loss Sharing) Account:**

Current Account: A current account is a non-interest-bearing account that allows for unlimited deposits and withdrawals. It's often used by businesses for daily transactions due to its high liquidity.

PLS Account: A PLS (Profit and Loss Sharing) account is based on Islamic banking principles where the account holder shares in the profits and losses of the bank rather than earning interest. Returns vary depending on the bank's performance.

30. **Investment Bank:** An investment bank is a financial institution that helps companies raise capital, provides advisory services on mergers and acquisitions, and engages in trading and underwriting securities. Unlike commercial banks, they do not take deposits from the general public.

31. **Intrinsic Value:** Intrinsic value refers to the inherent worth of an asset, investment, or currency, based on its fundamental characteristics, such as cash flow, earnings potential, or the utility of the asset. It's often contrasted with market value, which is influenced by market conditions.

32. **Functions of Money :**

Medium of Exchange: Money is used to facilitate transactions by eliminating the need for a direct exchange of goods (barter).

Store of Value: Money can be saved and retrieved in the future, maintaining its value over time.

Unit of Account: Money provides a common measure of value, making it easier to compare the prices of goods and services.

Standard of Deferred Payment: Money is used to settle debts or future payments, making credit transactions possible.

33. **International Bank for Reconstruction and Development (IBRD):** The IBRD, also known as the World Bank, is an international financial institution that provides loans and financial assistance to middle-income and creditworthy low-income countries. Its goal is to reduce poverty and support development projects such as infrastructure, education, and healthcare.

34. **Credit Creation:** Credit creation is the process by which commercial banks create new money in the economy through lending. When banks provide loans, they generate deposits for the borrower, which increases the money supply. This process multiplies the amount of money circulating in the economy.

35. **Central Bank:** A central bank is a national institution responsible for managing a country's currency, money supply, and interest rates. It acts as the government's bank, regulates commercial banks, and implements monetary policy to maintain economic stability.

36. **Privatization vs. Nationalization:**

Privatization: Privatization is the process of transferring ownership and control of a public sector entity to private individuals or companies, often to increase efficiency and profitability.

Nationalization: Nationalization is when a government takes control of a private sector company or industry, typically to protect public interests or ensure the provision of essential services.

37. **Banker Customer Relationship:** The relationship between a banker and a customer is based on trust and mutual understanding. The bank holds deposits, provides loans, and offers financial services, while the customer trusts the bank with their money and financial transactions.

38. **Near Money:** Near money refers to financial assets that can be quickly and easily converted into cash but are not directly used as a medium of exchange, such as savings accounts, treasury bills, and certificates of deposit. They are close to cash but require some effort to liquidate.

39. **Commodity Money:** Commodity money is a type of money that has intrinsic value and can be used as a commodity itself, like gold, silver, or grain. It is valuable not just as a medium of exchange but also for its inherent utility.

40. **Letter of Credit:** A letter of credit is a financial document issued by a bank that guarantees a buyer's payment to a seller, provided that certain conditions are met. It is commonly used in international trade to reduce the risk of payment default.

41. **Mortgage Bank:** A mortgage bank is a financial institution that specializes in originating and servicing mortgage loans for residential or commercial property. It provides loans to individuals or businesses to purchase real estate, using the property itself as collateral.

LONG QUESTIONS

1. What is Central Banking? Discuss the functions of Central Banks. (2)
2. What is Barter System? Discuss the 3 problems of Barter System? Also briefly discuss what should be the attributes of Good Money?
3. Discuss in detail the functions of a commercial bank. (2)
4. Explain the kinds of banks with examples where necessary. (2)
5. Discuss the step by step procedure of opening and functioning of letter of credit, its sub-types.
6. What are the different types of money? Explain and elaborate each of them.
7. What is meant by Current, PLS & Term deposit account? (2)
8. International Monetary System & IBRD

9. Explain quantity theory of money. Discuss its assumptions and the criticism made by different economists of this theory.
10. Discuss in detail the various types of letter of credit. Also highlights the importance of letter of credit. (2)
11. Define Islamic banking. Discuss the various financing modes of Islamic banking. (2)
12. Define Trade Cycle. Explain Phases of Trade Cycle?
13. Define Money. Explain Primary and Secondary Functions of Money?
14. Define Commercial Banks. What are its Major and Minor Functions? (2)
15. Write a note on PRIVATIZATION & NATIONALIZATION of banking in Pakistan.